

Benchmark Tax System + Repository

1. Enterprise Income Tax :

Tax Unit	Tax Base	Tax Period	Tax Rate							
			Profit Tax		Mandatory Income Tax		Micro Enterprise Income Tax			
							Annual Turnover	Agriculture, industry, manufacturing	Commerce	Services
- a business enterprise, including the self-employed as defined in Art. 3.10	annual business income - annual deductible expenses + unallowable expense	1 year	20%	Standard PT Rate	7%	Agriculture and handicraft	≤LAK50m	0%	0%	0%
			22%	Tobacco companies	10%	Industry and manufacturing	LAK50m to LAK400m	1%	2%	3%
			35%	Companies engaged in mining activities	15%	Commerce and service				
					30%	Electricity, power, and mining				

• **Repository of Enterprise Income Tax :**

#	Legal Basis	Type of TE	Tax Type	Description of TE	Purpose / Objective
1	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	A newly registered small entity (6-50 staff, total assets not exceeding LAK1.5 billion, & annual turnover ≤ LAK3 billion ^{a)} is subject to a profit tax rate of 3% for 3 years, after which the standard PT rate applies).	Tax Compliance / Formalisation
2	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	A newly registered medium-sized entity (51-99 staff, total assets not exceeding LAK6 billion, & annual turnover ≤ LAK6 billion) is subject to a profit tax rate of 5% for 3 years, after which the standard PT rate applies).	Tax Compliance / Formalisation
3	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	Businesses engaged in human resource development, such as schools, training centers, innovative research, other educational activities, modern hospitals, pharmaceutical factories, medical equipment, and traditional medicine production and treatment pay a profit tax rate of 5%, after the end of the tax holiday period as stipulated in IPL.	Social
4	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	Businesses that apply innovative technologies that are environmentally friendly, resource-efficient, and use clean energy for production, pay a profit tax rate of 7%, after the end of the tax holiday as stipulated in IPL.	Environmental
5	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	Companies listed on the Lao stock exchange pay a profit tax rate of 13% for four years following listing, after which the standard PT rate applies.	Financial Sector Development
6	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	0.1% for micro enterprises that register as enterprises and voluntarily enter the value added tax system	Tax Compliance / Formalisation
7	IPL Art. 9,10,11	Exemption	Profit Tax	Profit tax exemption for 10 years for investment in sectors set out in section 2, 3, 5 and 6 of Article 9 of IPL, situated in Zone 1 (as defined in Article 10).	Investment Promotion
8	IPL Art. 9,10,11	Exemption	Profit Tax	Profit tax exemption for 4 years for investment in sectors set out in section 2, 3, 5 and 6 of Article 9 of IPL, situated in Zone 2 (as defined in Article 10).	Investment Promotion
9	IPL Art. 14	Exemption	Profit Tax	Investors who re-invest their net profit for their additional operation or investment activities will receive a profit tax exemption for the next accounting year for one year based on the portion of profit re-invested for their additional operation or investment activities.	Investment Promotion